

Inventory Control Observation

MASTERPIECE · Independent physical inventory count · June 2026 (July 2026 costs) · Version 4

1. Executive summary

The independent physical count of the **19 line items** of the active inventory confirms a structural inventory-control issue: when materials are issued to production, the corresponding records are deleted from the system, so there is no traceability of work-in-process material. The consequence is measurable and material: Annex 24 (SEER) records **\$518,194.78** in active temporary imports against a physical inventory valued at **\$187,525.77**, leaving a **surplus balance of \$330,669.51 — 64% of the annex value with no physical backing on the floor**. The control baseline is equally conclusive: **none of the 19 line items reconciles within a ±2% tolerance** (14 shortages, 5 surpluses, 0 reconciled) and **value-based inventory accuracy stands at 36.2%** — against a minimum operating standard of 95%. The inverse risk was also identified: physical goods **with no record in the annex**, whose origin must be substantiated or regularized.

2. Financial and customs exposure

Official balances taken from Sheet 1, cells B23:C25, of the reconciliation file:

Concept (Sheet 1 · B23:C25)	Value (USD)	Reading
Annex 24 (SEER) balance	\$518,194.78	Active temporary imports
Physical inventory balance	\$187,525.77	Count valuation (Jul 2026 costs)
Surplus balance	\$330,669.51	64% of the annex with no physical backing

The surplus balance is the reference customs exposure: material that Annex 24 assumes to be under temporary importation and that did not appear in the count. Its probable causes are pending discharges, unreported waste and scrap, undocumented returns, and data-entry errors — all verifiable line by line against the photographic evidence of the count.

3. Accuracy baseline and KPI board

Program tracking metrics, calculated from the June count. Value-based accuracy is defined as $1 - (\text{surplus balance} / \text{annex balance})$; line-item accuracy uses a $\pm 2\%$ tolerance against the annex balance. These figures feed the baseline of the training session ("Our accuracy target").

KPI	Baseline (Jun 2026)	90-day target	Frequency	Owner
Value-based inventory accuracy (1 – surplus/annex)	36.2%	≥ 95%	Monthly	TACNA Inventory
Line-item accuracy ($\pm 2\%$ tolerance vs. annex)	0/19 (0%)	≥ 90% of line items	Monthly	TACNA Inventory
Surplus balance (USD)	\$330,669.51	≤ \$66,000 (–80%)	Monthly	Customs / Annex 24
Open critical line items (≥90% var. or unrecorded)	6	0	Weekly	Client Operations + TACNA
Part numbers with no system mapping (#N/D), active line items	2	0	Weekly	Client Systems
Part numbers with UoM harmonized annex ↔ count	10/19	19/19	Weekly	Inventory / Customs
Waste and scrap covered by destruction notice	0%	100%	Monthly	Customs / Annex 24
ABC cycle-count coverage	0%	A: weekly · B: biweekly · C: monthly	Weekly	Client Warehouse

4. Critical line items — ranked by dollar exposure

Line items ranked from most to least critical by dollar exposure. The ranking uses the per-line shortage balance in USD from the reconciliation file (July 2026 costs), which reconciles exactly to the official surplus balance of \$330,669.51. Merged groups (COT, BOTTLE, LABEL) are net values as recorded in the file:

Part	Shortage (USD)	% of total	Cum. %	Qty variance	% Var	Category
LUMBPINE-BF	\$168,112.78	50.8%	50.8%	–240,457 BFT	–83%	Lumber
LINICANR	\$58,944.81	17.8%	68.7%	–11,431,846 IN ²	–97%	Linen fabric
LINICANP	\$56,630.93	17.1%	85.8%	–13,662,407 IN ²	–92%	Linen fabric
COT group (COTDCANP + COTICANP + COTICANR, net)	\$29,069.44	8.8%	94.6%	–24,609,214 IN ²	–32%	Cotton fabric (net)
CHIPCARD	\$7,302.48	2.2%	96.8%	–887 PCS	–58%	Chipboard
BOX-CORR	\$4,171.67	1.3%	98.1%	–1,628 PCS	–22%	Corrugated
Remaining 11 line items	\$6,437.40	1.9%	100.0%	—	—	Each < \$2,000
Total (surplus balance)	\$330,669.51	100.0%				

Measured in dollars, the exposure is highly concentrated: **lumber and linen fabric account for 85.8% of the surplus balance** — LUMBPINE-BF alone is half — and the top four value lines cover 94.6%. Recovery efforts

(consumption and scrap verification, regime change, return in the same condition, or virtual transfer V1) should therefore be prioritized on lumber and fabric. Dollar ranking and quantity ranking tell different stories: LABEL and BOTTLE-A show -100% quantity variances but are financially immaterial at net group level (\$97.45 and \$364.02); they remain open as compliance items, not as financial exposure.

5. Unrecorded surpluses — regularization path

Unlike a shortage (which suggests operations pending to be reported), a **surplus with no documentary coverage** implies goods on site whose legal stay is not substantiated. The remedy is not a return but regularization. Cases are ranked from highest to lowest estimated value; unrecorded goods carry no annex valuation, so dollar figures are estimated at the average unit value implied by the July 2026 physical count and are for prioritization only:

- **COTICANP:** ≈ \$28,274 estimated exposure — 17,371,388.60 IN² physical with a zero annex balance; the most severe case.
- **LABEL-PAPER:** ≈ \$5,364 estimated exposure — 217,324 pcs against 106,629.99 recorded (+104% over the covered amount).
- **CARTON TUBE KRAFT 84":** ≈ \$1,405 estimated exposure — 2,585 physical pcs against 1,636 in the annex, with no system mapping (#N/D).

Actions: substantiate origin with import declarations (pedimentos) and invoices; where not possible, regularize through definitive importation with payment of duties, or perform an Annex 24 restructure to absorb those consumptions. While this is resolved, suspend consumption of these part numbers so the difference does not grow.

6. Catalog and BOM data quality

- **BOMs with incorrect units of measure:** direct BFT→M³ conversion in lumber; additionally GAL/PAIL (AlkydPrimer), PCS/Sheet (PLYWOOD), and five line items counted in units different from the annex IN²/BFT. Any consumption figure derived from these BOMs is incorrect until normalized.
- **Part numbers with no system mapping (#N/D):** direct evidence of missing part numbers in the ERP.
- **Identical part numbers for different materials:** these must be set up at the part-number level with their correct value, for value manifest purposes.
- **Labeling and descriptions inconsistent with the physical item:** e.g., recorded description vs. plastic bottle and printed paper labels found on the floor; labels missing part number and unit of measure.

7. Process recommendations

The objective is to keep material traceability from the moment it leaves the warehouse until it is consumed or becomes finished goods:

- **Virtual Production (WIP) warehouse:** transfer instead of deleting; Raw Material → WIP → Finished Goods flow, preserving movement history.
- **Production orders:** every material issue tied to an order; actual vs. theoretical consumption; waste detection.
- **Separate inventories:** raw material, WIP, finished goods, and scrap/waste.
- **Barcode/QR scanning** at issue, consumption, and finished-goods receipt.

- **ABC cycle counts** and a daily production consumption report (received, consumed, returned, waste, produced).
- **Visual Kanban** with coded locations (Area-Rack-Level-Position) and min/max levels.

Complementary obligation: waste and scrap must also be reported to the authority (destruction with prior notice); otherwise the material remains “live” in Annex 24 and the gap never closes.

8. Risk and mitigation matrix

Risk	Description	Mitigation	Owner	Severity
Customs / IMMEX	Physical goods without documentary coverage (COTICANP, LABEL-PAPER, CARTON TUBE): origin not substantiated before the authority.	Regularization: definitive importation with payment of duties, or documentary substantiation, or an Annex 24 restructure to absorb those consumptions; suspend consumption of these part numbers until resolved.	Customs / Foreign Trade TACNA	Critical
Tax / financial	Surplus balance of \$330,669.51 (shortages): unreported discharges, waste and returns may result in omitted duties plus surcharges.	Clear pending discharges in Annex 24; document waste/scrap with destruction notices; regime change, return in same condition, or virtual transfer (V1) for fabric and lumber.	Customs + Finance TACNA	Critical
Operational	Records deleted when issuing materials to production: no WIP traceability, no actual vs. theoretical consumption.	Virtual “Production/WIP” warehouse, production orders, daily consumption reporting, movement scanning.	Client Operations + TACNA	High
Master data	BOMs with incorrect units of measure (BFT→M ³ , GAL/PAIL, PCS/Sheet, IN ²), part numbers with no system mapping (#N/D), identical part numbers for different materials, descriptions that do not match the physical item.	UoM conversion layer; part-number-level setup with correct value (value manifest); catalog and physical labeling cleanup.	Inventory + Client Systems	High

9. Target and 90-day plan

This report is accompanied by two training sessions already prepared (“Inventory Accuracy” and “Kanban Induction”). The committed target is **inventory accuracy ≥ 95% within 90 days**, with the following plan (the 36.2% baseline feeds the “Our accuracy target” slide of the training):

- **Weeks 1-2:** baseline — full count and initial accuracy calculation per line item.
- **Weeks 3-4:** standardize units of measure and code storage locations.
- **Weeks 5-6:** reconcile and adjust Annex 24 with evidence (discharges, regularizations).
- **Weeks 7-9:** Kanban pilot on one product family + ABC cycle counts.
- **Weeks 10-12:** sustain — KPI board, audit, and rollout to the rest of the plant.